

Pan Africa Insurance Holdings Limited

Unaudited Group Financial Results for the Six Months to 30 June 2015

Head Office: Pan Africa Life House, Kenyatta Avenue | P.O. Box 10493 Nairobi 00100 Kenya

Tel: 2247600, 2781000, 2225050 | SMS helpline: 0720 632000

Email: customerservice@pan-africa.com | Website: www.pan-africa.com

SMS hotline: 30182



member of
Sanlam GROUP

1 Introduction

The Board of Directors of Pan Africa Insurance Holdings Limited ("PAIHL") is pleased to announce the Group's unaudited results for the half year to 30th June 2015.

2 Key Features

- Profit before tax now at Kshs. 412m
- Total assets now at Kshs. 27b
- Group EV is at Kshs. 5.0b
- Capital Adequacy Requirement (Solvency) covered 4.56 times
- Value of New Business is at Kshs. 53m

3 Accounting policies

The Group's accounting policies comply with International Financial Reporting Standards ("IFRS") as well as the Kenya Companies Act. These policies are consistent with those applied in prior years.

4 The Economic Environment

The IMF World Economic Outlook (April 2015) projects the Kenyan GDP will grow by 6.9% in 2015 compared to 5.3% achieved in 2014. Kenya National Bureau of Statistics in their First Quarter 2015 GDP release estimates that the Kenyan economy expanded by 4.9% in the first quarter of 2015 compared to 4.7% during the same quarter of 2014.

The NSE 20 share index closed at 4906 in 30th June 2015, 4% lower than the December 2014 closing index of 5113. Inflation rose slightly to 7.03% in June 2015 compared to 6.02% in December 2014. Short term interest rates have remained relatively stable with the 91 day treasury bills rate slightly decreasing from 8.58% in December 2014. The Kenya shilling has continued to lose ground against the US Dollar declining by close to 10% for the first 6 months of the year.

5 Financial Overview

The Group profit before tax at Kshs. 412m declined from Kshs. 495m reported in June 2014. This is mainly attributable to lower investment return earned on the Group's capital portfolio.

Analysis of Earnings

	Six Months to 30 Jun 15 Kshs: M	Six Months to 30 Jun 14 Kshs: M
Operating surplus	347	272
Investment return on shareholders' assets	65	223
Profit before tax	412	495
Tax	(148)	(104)
Net surplus for the period	264	391

The operating surplus grew by 28% compared to June 2014 mainly due to income generated from the property sales. The operating surplus from our core line of business - Life Assurance - recorded a decline mainly due to challenges posed by the new life administration system and consequential effects on our distribution network. We have since stabilised the system and revamped our distribution network. Gross premiums declined by 7% while policy benefits grew by 13%.

Investment return on shareholders' assets comprise of realised investment income and unrealised marked-to-market changes in shareholders' assets. The unrealised return is mainly from equities which posted a poor performance compared to the previous period. Life business gross premium income declined 7% compared to the same period in 2014 mainly due to lower volumes of bulk annuities sold compared to the similar period last year. Policy benefits grew by 13% compared to June 2014 mainly due to worsening claims experience on account of Group Life and Credit Life Business benefits coupled with maturities in our individual life business.

Corporate Business has recorded a depressed performance mainly due to competitive market pricing and the exacerbated lending rates. The introduction of the Kenya Bankers Reference Rate (KBRR) did not bring down the cost of credit as anticipated by the Government and the increase in the Central Bank Rate is likely to increase the cost of credit further repressing the performance of our Credit Life Business.

Property sales have contributed considerably to our operating surplus, a significant contrast to previous year. We envisage generating additional income from property sales in the 2nd half of the year.

The acquisition and takeover of Gateway Insurance Company was completed early this year (Effective date of acquisition is 01 March 2015). This acquisition is in line with our strategic goal of providing a one-stop-shop to our customers. Gateway has posted a loss in the period under review mainly due to low production in the transition period. We expect the performance to improve in the second half of the year as focus shifts to production.

The bonus issue at the rate of 1 for every 2 shares held approved at the Annual General Meeting in May 2015, was approved by the Capital Market Authority and the additional shares went into circulation in the period under review. Share capital increased by Kshs. 240m while issued shares increased by 48m.

6 Dividends

Consistent with the company's dividend policy, the Board does not recommend the payment of an interim dividend.

7 Looking ahead

Works on our new Head Office development along Waiyaki Way commenced in the second half of last year and the completion date is slated for 2018.

We are currently relooking at how we can optimize our new Group structure comprising the Life business, General Insurance, Property and Asset Management. We believe we have companies that will increase shareholders value in the future while meeting the needs of our policyholders.

8 For and on behalf of the Board

Dr JPN Simba (Chairman)

M Kibati (Group Chief Executive)

Directors
Dr JPN Simba, M Kibati, MM Dawes*, R Patel, S Mudhune, ML Olivier*, JA Burridge**, JP Wrench*, O Wilus*

*South African ** British

Group Statement of Comprehensive Income

	6 Months to 30 June 2015 Kshs:000	6 Months to 30 June 2014 Kshs:000	12 Months to 31 Dec 2014 Kshs:000
Gross written premium	2,594,647	2,277,769	5,246,527
Outward reinsurance premium	(209,164)	(152,896)	(255,757)
Net written premium	2,385,483	2,624,873	4,990,770
Investment income	1,037,289	1,022,586	1,993,175
Fair value gains	(548,059)	186,445	648,386
Fee and commissions earned	46,761	36,619	49,013
Other operating income (including property)	641,856	168,121	293,651
Other revenue	1,177,847	1,413,771	2,984,225
Total income	3,563,330	4,038,644	7,974,995
Gross benefits and claims paid	(1,570,386)	(1,385,653)	(2,710,948)
Reinsurers' share of claims	29,649	65,470	121,405
Net change in contract liabilities	(542,484)	(1,358,322)	(2,464,151)
Net claims and policyholders benefits	(2,083,221)	(2,678,307)	(5,053,694)
Cost of sales	(41,142)	(113,608)	(119,848)
Commission payable	(366,515)	(383,662)	(778,294)
Operating and other expenses	(660,753)	(468,182)	(973,171)
Total benefits, claims and other expenses	(3,151,631)	(3,544,059)	(6,825,007)
Profit before share of profit of an associate	411,699	494,585	1,149,988
Share of profit of an associate	-	-	2,610
Profit before tax	411,699	494,585	1,152,598
Income tax expense	(147,336)	(103,791)	(281,408)
Profit for the year after tax	263,963	390,794	871,190
Other comprehensive income net of tax	-	-	-
Total profit and other comprehensive income	263,963	390,794	871,190
Profit attributable to:			
Equity holders of the parent	267,244	390,794	871,190
Non controlling interest	(3,281)	-	-
Earnings Per Share			
Basic	1.86	4.07	9.07
Diluted	1.86	4.07	9.07
Shares used for calculating earnings per share	144,000,000	96,000,000	96,000,000

Group Statement of Financial Position

	30 June 2015 Kshs: M	30 June 2014 Kshs: M
Share capital	720,000	480,000
Share premium	-	124,431
Statutory reserve	1,992,311	623,592
Retained earnings	1,292,066	2,501,215
Non-controlling interest	242,660	-
Total capital and reserves	4,247,037	3,729,037
ASSETS		
Intangible assets	134,168	108,146
Property and equipment	128,904	129,020
Investment property	2,187,050	915,010
Investments in associate	18,528	15,919
Goodwill	347,195	-
Deferred tax	3,360	23,942
Financial instruments:		
Loans	1,052,875	1,034,459
Held to maturity financial assets	7,475,711	5,810,277
Available for sale financial assets	-	7,026,753
Fair value through profit or loss financial assets	9,718,959	9,063,396
Reinsurance assets	308,504	101,809
Land and development (inventory)	96,689	133,466
Insurance receivables	348,225	234,612
Income tax receivable	36,425	46,708
Deferred acquisition costs	25,641	-
Receivable and other financial assets	539,554	258,527
Deposits with financial institutions	4,293,012	4,578,941
Cash and bank balance	362,219	526,473
Total assets	27,077,022	22,980,705
LIABILITIES		
Insurance contract liabilities	10,399,150	7,846,713
Market linked insurance liabilities	8,809,689	8,449,844
Payable under deposit administration contracts	1,437,367	1,520,957
Deferred tax	647,697	435,229
Provisions	52,811	46,834
Current tax liabilities	36,647	31,038
Insurance payables	605,827	494,829
Insurance and other charges	808,080	426,022
Bank overdraft	32,717	-
Total liabilities	22,829,985	19,251,467

Group Statement of Changes in Equity

	30 June 2015 Kshs:000	30 June 2014 Kshs:000	31 Dec 2014 Kshs:000
Share capital and share premium	720,000	604,431	604,431
Statutory reserves	1,992,311	3,166,012	1,846,043
Income attributable to shareholders	1,436,334	390,795	2,330,951
Transfer to statutory reserves	(144,268)	-	(573,792)
Dividends paid	-	(432,000)	(432,000)
Non controlling interest	242,660	-	-
Balance at end of the period	4,247,037	3,729,238	3,777,633

Abridged Statement of Cash Flows

	6 Months to 30 June 2015 Kshs:000	6 Months to 30 June 2014 Kshs:000	12 Months to 31 Dec 2014 Kshs:000
Cash flow from operating activities	840,792	1,692,950	917,802
Cash utilised in investing activities	(165,315)	(843,033)	(1,285,184)
Cash flows utilised in financing activities	(1,342)	(432,000)	(339,419)
Net increase in cash resources	673,935	417,317	(706,807)
Cash resources at the beginning of the period	3,981,296	4,688,097	4,688,097
Cash resources at the end of the period	4,655,231	5,105,414	3,981,296

Group Embedded Value

The embedded value represents an estimate of the value of the group. It excludes the value attributable to minority interests and goodwill attributable to future new business.

The embedded value comprises:

- a) the value of the shareholders' equity net of the cost of the Capital Adequacy Requirement (CAR); and
 - b) the value of the in-force business.
- The value of the in-force is the present value of future profits arising from business in force at the valuation date, discounted at the risk discount rate.

	6 Months to 30 June 2015 Kshs:000	6 Months to 30 June 2014 Kshs:000	12 Months to 31 Dec 2014 Kshs:000
Embedded value results			
Shareholders' equity, excluding goodwill	4,247,037	3,729,238	3,777,633
Fair value adjustments to net assets	(137,837)	252,893	551,244
Net value of in-force	1,831,558	1,772,768	2,113,690
Gross value in-force	3,075,996	2,958,713	3,494,437
Tax provision	(922,799)	(887,614)	(1,048,331)
Cost of CAR	(321,659)	(298,331)	(332,416)
Embedded value at end of period	5,940,758	5,754,899	6,442,567
Embedded value earnings			
Embedded value at end of period	5,940,758	5,754,899	6,442,567
Embedded value at beginning of period	6,442,567	5,342,139	5,342,139
Change in embedded value	(501,809)	412,760	1,100,428
Dividends paid	(501,809)	412,760	1,332,428
Embedded value earnings			
These earnings can be analysed as follows:			
Roll forward	200,146	146,934	291,566
Investment return on free assets	16,133	18,316	23,826
Expected return on life business in force	183,993	128,618	267,740
Change over the period	(701,955)	265,826	1,133,460
Value of new business at end of period	55,093	116,883	195,080
Value at point of sale (gross of tax)	95,509	186,635	311,471
Tax on value at point of sale	(28,653)	(55,991)	(93,441)
Cost of capital on new business	(13,437)	(18,140)	(37,059)
Expected return to end of period	1,674	4,379	14,109
Change in assumptions and methodology	(127,246)	61,436	192,633
Experience variations	(135,860)	15,973	126,097
Increase in NAV on unlisted investments	-	131,600	5,855
Increase/(decrease) in NAV for other subsidiaries and associates	(493,943)	(60,060)	613,795
Total earnings	(501,809)	412,760	1,425,026
Value of new business at point of sale	53,476	112,505	180,971
Recurring premium	31,476	50,511	71,431
Single premium	35,380	80,134	146,599
Cost of CAR	(13,437)	(18,140)	(37,059)
Value of new business at point of sale	53,419	112,505	180,970
Individual life business	12,450	33,952	33,645
Corporate business	54,406	96,693	184,384
Cost of CAR	(13,437)	(18,140)	(37,059)
Assumptions			
The main assumptions used are as follows:			
1. Economic assumptions	% p.a	% p.a	% p.a
Risk discount rate	18.1	16.5	16.2
Overall investment return	13.6	11.6	11.9
Expense inflation rate	10.1	8.5	8.2
2. Other assumptions			
The assumptions for future mortality and premium escalation were based on recent experience adjusted for anticipated future trends.			
Notes			
a) Changes in assumptions and methodology			
Expenses	(57,518)	101,455	21,227
Mortality	-	39,469	23,089
Persistency	(32,714)	23,394	21,048
Premium collection	(101,727)	24,979	169,860
Total operational	(191,959)	110,359	189,546
Investment return	166,856	(90,133)	49,181
Risk discount rate	(102,143)	41,210	52,268
Total	(127,246)	61,436	192,633
b) Experience variations			
Mortality and morbidity	(1,630)	(24,502)	(49,398)
Persistency	(53,620)	(21,800)	79,324
Expenses and commission	23,845	(29,296)	(13,017)
Tax variations	(6,000)	(409)	(34,474)
Other	(48,661)	(8,663)	84,376
Total operational	(86,066)	(84,670)	66,811
Investment variances	(135,860)	100,643	59,286
Total	(336,647)	15,973	126,097
c) Fair value adjustments			
Adjustment to fair value of subsidiary	(137,837)	252,893	551,244
d) Increase in NAV for other subsidiaries			
NAV increase/(decrease) for other subsidiaries and associates	(493,943)	(60,060)	613,795
e) Increase in NAV for unlisted investments			
NAV increase for unlisted investments	-	131,600	5,855